

TOWN OF CORNWALL
CONSOLIDATED FINANCIAL STATEMENTS
MARCH 31, 2020

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MANAGEMENT'S RESPONSIBILITY FOR THE CONSOLIDATED FINANCIAL STATEMENTS

The accompanying consolidated financial statements of the Town of Cornwall are the responsibility of management and have been prepared in accordance with Canadian accounting standards for the public sector. A summary of the significant accounting policies are described in the consolidated financial statements. The preparation of consolidated financial statements necessarily involves the use of estimates based on management's judgment, particularly when transactions affecting the current period cannot be finalized with a certainty until future periods.

To meet its responsibility, management maintains a system of internal controls designed to provide reasonable assurance that assets are safeguarded, transactions are properly authorized and recorded in compliance with legislative and regulatory requirements, and reliable financial information is available on a timely basis for preparation of the consolidated financial statements. These systems are monitored and evaluated by management.

Mayor and Council meet with management and the external auditors to review the consolidated financial statements and discuss any significant financial reporting or internal control matters prior to their approval of the consolidated financial statements.

The consolidated financial statements have been audited by MRSB Chartered Professional Accountants Inc., independent external auditors appointed by the Town. The accompanying Independent Auditor's Report outlines their responsibilities, the scope of their examination and their opinion on the consolidated financial statements.

On behalf of the Town of Cornwall



Chief Administrative Officer

October 28, 2020

INDEPENDENT AUDITOR'S REPORT

TO THE MAYOR AND MEMBERS OF COUNCIL

Opinion

We have audited the accompanying consolidated financial statements of the Town of Cornwall, which comprise the consolidated statement of financial position as at March 31, 2020, and the consolidated statement of operations, changes in net debt and cash flow for the year then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Town of Cornwall as at March 31, 2020, and the results of its operations and its cash flow for the year then ended in accordance with Canadian accounting standards for the public sector.

Basis for Opinion

We conducted our audit in accordance with Canadian generally accepted auditing standards. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the entity in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in Canada, and we have fulfilled our other ethical responsibilities in accordance with those requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with Canadian accounting standards for the public sector and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the entity's ability to continue as a going concern, disclosing, as applicable, matters relating to going concern and using the going concern basis of accounting unless management either intends to liquidate the entity or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the entity's financial reporting process.

Auditor's Responsibility for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but it is not a guarantee that an audit conducted in accordance with Canadian generally accepted auditing standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements. As part of an audit in accordance with Canadian generally accepted auditing standards, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw our attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the entity to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

MRSB Chartered Professional Accountants Inc.

CHARLOTTETOWN, P.E.I.
OCTOBER 28, 2020

MRSB

**TOWN OF CORNWALL
CONSOLIDATED STATEMENT OF FINANCIAL POSITION
MARCH 31, 2020**

	2020	2019 (Restated)
Financial Assets		
Unrestricted cash	\$ 600	\$ 27,799
Restricted cash	1,659,055	592,620
Accounts receivable	600,450	574,248
	<u>2,260,105</u>	<u>1,194,667</u>
Liabilities		
Bank indebtedness - Note 3	457,804	168,578
Operating loans - Note 4	700,000	800,000
Accounts payable and accrued liabilities	677,806	588,423
Deferred revenue - Note 5	1,402,875	594,654
Retirement obligation - Note 6	138,689	111,880
Long term debt - Note 7	3,647,915	4,107,300
	<u>7,025,089</u>	<u>6,370,835</u>
Net Debt - Statement 3	<u>(4,764,984)</u>	<u>(5,176,168)</u>
Non-Financial Assets		
Prepaid expenses	55,698	53,688
Tangible capital assets - Schedules 1 and 2	29,045,880	28,960,840
	<u>29,101,578</u>	<u>29,014,528</u>
Accumulated Surplus	<u>\$ 24,336,594</u>	<u>\$ 23,838,360</u>
Commitments - Note 8		
Contingencies - Note 9		
Municipal Position		
Accumulated surplus - Statement 2	<u>\$ 24,336,594</u>	<u>\$ 23,838,360</u>

ON BEHALF OF THE COUNCIL:

 Mayor

 Councilor

(Notes 1 to 19 are an integral part of these consolidated financial statements)

MRSB

**TOWN OF CORNWALL
CONSOLIDATED STATEMENT OF OPERATIONS
YEAR ENDED MARCH 31, 2020**

	Budget 2020	Actual 2020	Actual 2019 (15 months) (Restated)
Revenues			
Town - Schedule 3	\$ 2,949,760	\$ 3,634,763	\$ 5,015,808
Water and Sewer Utility - Schedule 4	1,333,360	1,817,692	2,708,671
Parks and Recreation - Schedule 5	413,750	509,232	642,175
	<u>4,696,870</u>	<u>5,961,687</u>	<u>8,366,654</u>
Expenditures			
Town - Schedule 3	2,319,114	3,440,992	3,958,982
Water and Sewer Utility - Schedule 4	932,507	1,218,655	1,478,352
Parks and Recreation - Schedule 5	1,074,165	803,806	989,617
	<u>4,325,786</u>	<u>5,463,453</u>	<u>6,426,951</u>
Change in Fund Balances	<u>\$ 371,084</u>	498,234	1,939,703
Accumulated Surplus - Beginning of Year		<u>23,838,360</u>	21,898,657
Accumulated Surplus - End of Year - Note 11		<u>\$ 24,336,594</u>	<u>\$ 23,838,360</u>

(Notes 1 to 19 are an integral part of these consolidated financial statements)

**TOWN OF CORNWALL
CONSOLIDATED STATEMENT OF CHANGES IN NET DEBT
YEAR ENDED MARCH 31, 2020**

	Budget 2020	Actual 2020	Actual 2019 (15 months) (Restated)
Change in fund balances	\$ 371,084	\$ 498,234	\$ 1,939,703
Amortization of tangible capital assets	-	1,362,322	1,564,861
Purchase of tangible capital assets	(1,143,857)	(1,447,362)	(2,218,951)
Increase in prepaid expenses	-	(2,010)	(14,433)
Gain on sale of tangible capital assets	-	-	(50,000)
Proceeds from sale of tangible capital assets	-	-	50,000
(Increase) Decrease in Net Debt	(772,773)	411,184	1,271,180
Net Debt - Beginning of Year	(5,176,168)	(5,176,168)	(6,447,348)
Net Debt - End of Year	\$ (5,948,941)	\$ (4,764,984)	\$ (5,176,168)

(Notes 1 to 19 are an integral part of these consolidated financial statements)

**TOWN OF CORNWALL
CONSOLIDATED STATEMENT OF CASH FLOW
YEAR ENDED MARCH 31, 2020**

	2020	2019 (15 months) (Restated)
Cash Flows From Operating Activities		
Change in fund balances	\$ 498,234	\$ 1,939,703
Amortization of tangible capital assets	1,362,322	1,564,861
Gain on sale of tangible capital assets	-	(50,000)
	<u>1,860,556</u>	<u>3,454,564</u>
Change in Non-Cash Working Capital		
(Increase) decrease in accounts receivable	(26,202)	473,836
Increase in prepaid expenses	(2,010)	(14,433)
Increase (decrease) in accounts payable and accrued liabilities	89,384	(1,168,308)
Increase (decrease) in deferred revenue	808,220	(323,799)
Increase in retirement obligation	26,809	1,434
	<u>896,201</u>	<u>(1,031,270)</u>
	<u>2,756,757</u>	<u>2,423,294</u>
Cash Flows From Capital Activities		
Purchase of tangible capital assets	(1,447,362)	(2,218,951)
Proceeds from sale of tangible capital assets	-	50,000
	<u>(1,447,362)</u>	<u>(2,168,951)</u>
Cash Flows From Financing Activities		
Repayment of long term debt	(459,385)	(554,164)
Repayment of operating loans	(100,000)	(100,000)
	<u>(559,385)</u>	<u>(654,164)</u>
Increase (Decrease) in Cash	<u>750,010</u>	<u>(399,821)</u>
Cash - Beginning of Year	<u>451,841</u>	<u>851,662</u>
Cash - End of Year	<u>\$ 1,201,851</u>	<u>\$ 451,841</u>
Cash Consists of:		
Unrestricted cash	\$ 600	\$ 27,799
Restricted cash	1,659,055	592,620
Bank indebtedness	(457,804)	(168,578)
	<u>\$ 1,201,851</u>	<u>\$ 451,841</u>

(Notes 1 to 19 are an integral part of these consolidated financial statements)

**TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
YEAR ENDED MARCH 31, 2020**

1. Description of Business

The Town of Cornwall ("the Town") was incorporated under the Charlottetown Area Municipalities Act and continued under the Municipal Government Act. The Town is a non-profit organization under the Income Tax Act. The Town manages the municipal operations and also provides sewer and water services to its residents.

2. Accounting Policies

Basis of Preparation

These consolidated financial statements of the Town of Cornwall have been prepared by management in accordance with Canadian accounting standards for the public sector.

These consolidated financial statements are prepared using the accrual basis of accounting. The accrual basis of accounting records revenue as it is earned and measurable. Expenditures are recognized as they are incurred and measurable based upon receipt of goods or services and/or the legal obligation to pay.

Funds from external parties and earnings thereon restricted by agreement or legislation are accounted for as deferred revenue until used for the purpose specified.

Government transfers, contributions and other amounts are received from third parties pursuant to legislation, regulation or agreement and may only be used for certain programs in the completion of specific work. In addition, certain user charges and fees are collected for which the related services have yet to be performed. Revenue is recognized in the period when the related expenditures are incurred or services performed.

Basis of Consolidation

These consolidated financial statements for the Town of Cornwall reflect the assets, liabilities, revenues, expenditures, change in net debt and change in financial position of the Town. The Town is comprised of the municipal operations plus all of the organizations that are owned or controlled by the Town and are, therefore, accountable to the Town Council for the administration of their financial affairs and resources. Included with the municipality is the following:

Cornwall Water and Sewer Utility Corporation

Cash

Cash comprises cash on hand, cash in banks and bank indebtedness.

TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
YEAR ENDED MARCH 31, 2020

2. Accounting Policies (cont'd)

Accounts Receivable

Accounts receivable arise from sewer and water levies, Harmonized Sales Tax recoverable, government funding and miscellaneous receivables. An allowance for bad debts has been calculated through discussions with management, assessment of the other circumstances influencing the collectibility of amounts and using historical loss experience. Amounts deemed non-collectible are written off and deducted from the carrying value of the receivable. Amounts subsequently recovered from accounts previously written off are credited to the allowance account in the period of recovery.

Tangible Capital Assets

Tangible capital assets are recorded at cost which includes all amounts that are directly attributable to acquisition, construction, development or betterment of the asset. The cost, less residual value of the tangible capital assets, is amortized on a straight-line basis over the estimated useful life as follows:

Town Hall	25 years
Terry Fox Clubhouse	25 years
Terry Fox Sports Complex	5 and 15 years
Civic Centre	20 years
Maintenance and Utility building	25 years
Pool	3 years
Civic Centre equipment	3 years
Computer equipment	3 years
Pool equipment	3 years
Town equipment	3 years
Sidewalks/streets	10 years
Cenotaph	25 years
Tractor, trailer and trucks	3 years
Transit bus	15 years
Sewer system	83 1/3 years
Water system	83 1/3 years
Multipurpose Centre	3 years
Playground equipment	3 years
Park improvements	3 years
Motor equipment	3 years
Asset management and plans	3 years

Cornwall Water and Sewer Utility Corporation anticipates recovery of all of the costs related to the waterline installation on Osprey Avenue from Ferry Road to Primrose Drive from the developer. Cornwall Water and Sewer Utility Corporation estimates the recovery to be approximately \$97,147.

The anticipated recovery of these costs has not been reflected in the financial statements as the events giving rise to the recovery have not yet occurred.

Non-Financial Assets

Non-financial assets are not available to discharge existing liabilities and are held for the use in the provision of services. They have useful lives extending beyond the current year and are not intended for sale in the normal course of operations. The change in non-financial assets during the year, together with the annual surplus, provides the consolidated change in net debt for the year.

TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
YEAR ENDED MARCH 31, 2020

2. Accounting Policies (cont'd)

Government Transfers

Government transfers are the transfer of assets from senior levels of government that are not the result of an exchange transaction, are not expected to be repaid in the future, or the result of a direct financial return.

Government transfers are recognized in the financial statements as revenue in the year in which events giving rise to the transfer occur, providing the transfers are authorized, any eligibility criteria have been met, and reasonable estimates on the amounts can be determined.

Revenue Recognition

The Town follows the deferral method of accounting for contributions and grants. Restricted contributions are recognized as revenue in the year in which the related expenditures are incurred. Unrestricted contributions are recognized as revenue when received or receivable if the amount to be received can be reasonably estimated and collection is reasonably assured.

Property tax billings are assessed based on the market value of real property in the Town and are payable in each calendar year. Municipal tax rates are reviewed, established and approved annually by the Town council. These revenues are recognized monthly as amounts are received from Province of Prince Edward Island.

Financial Instruments

Financial instruments are recorded at fair value when acquired or issued. In subsequent periods, financial assets with actively traded markets are reported at fair value, with any unrealized gains and losses reported in surplus. All other financial instruments are reported at amortized cost, and tested for impairment at each reporting date. Transaction costs on the acquisition, sale, or issue of financial instruments that are subsequently measured at amortized cost are shown as an adjustment to the carrying value of the related financial instrument.

Management Estimates

The presentation of the consolidated financial statements in conformity with Canadian accounting standards for the public sector requires management to make estimates and assumptions that affect the reported amount of assets and liabilities at the date of the consolidated financial statements, and the reported amounts of revenues and expenditures during the reporting period. Actual results could differ from management's best estimates as additional information becomes available in the future. The following are areas in which management makes significant accounting estimates:

- The amounts recorded for amortization of tangible capital assets on the consolidated statement of operations is subject to management's assessment of the estimated useful lives of the Town's tangible capital assets; and
- The recognized amounts of potential claims and liabilities depend on management's assessment of future costs and the probability these events will occur.

**TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
YEAR ENDED MARCH 31, 2020**

3. Bank Indebtedness

	2020	2019
Town		
National Bank of Canada	\$ 390,751	\$ 168,578
Utility		
National Bank of Canada	67,053	-
	<u>\$ 457,804</u>	<u>\$ 168,578</u>

4. Operating Loans

Town		
National Bank - prime rate less 0.75%; interest due monthly; maximum limit of \$1,000,000; renewable June 30, 2024	\$ 300,000	\$ 400,000
Utility		
National Bank - prime rate less 0.75%; interest due monthly; maximum limit of \$550,000; renewable June 30, 2024	400,000	400,000
	<u>\$ 700,000</u>	<u>\$ 800,000</u>

The Town must maintain the following financial ratios at all times:

- Working capital of at least \$1,000
- Working capital ratio of at least 1:1

5. Deferred Revenue

New Deal Gas Tax Funding	\$1,220,817	\$ 498,296
Subdivision parkland reserve	149,747	87,067
Parkland dedication reserve	17,815	-
Program funding	14,496	9,291
	<u>\$1,402,875</u>	<u>\$ 594,654</u>

Under the New Deal Gas Tax Funding for Incorporated Communities and the New Deal for Cities & Communities, the Town is allocated annual funding of \$1,303,350 for fiscal 2020. These funds, along with interest earned, must be used for eligible infrastructure and capacity building projects. Any funds received under this program, including interest earned, but not yet spent are recognized as deferred revenue at the end of the period.

During the year, the Town received Gas Tax funding of \$1,303,350 and incurred eligible expenditures of \$580,829.

**TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
YEAR ENDED MARCH 31, 2020**

6. Retirement Obligation

The Town accrues a retirement allowance for certain employees over the age of 50. The Town has calculated an estimated reserve based on one week retirement allowance for each employee anticipated to meet the criteria. The expense for the plan is equal to the change in estimated allowance for the year which was \$26,809 (2019 - \$1,434). The retirement obligation allowance is included in the restricted cash balance.

7. Long Term Debt

	2020	2019
Town		
National Bank of Canada - 3.23%; repayable in blended monthly installments of \$8,534; unsecured; renewable November 20, 2024	\$ 1,063,468	\$ 1,129,557
National Bank of Canada - 2.65%; repayable in blended monthly installments of \$12,932; unsecured; amortized to July 2031; renewable July 20, 2026	906,302	1,035,525
National Bank of Canada - 3.25%; repayable in blended monthly installments of \$4,091; unsecured; renewable February 1, 2022	91,514	136,815
Utility		
National Bank of Canada - 3.00%; repayable in blended monthly installments of \$13,178; unsecured; amortized to April 2027; renewable April 3, 2022	1,008,336	1,134,073
National Bank of Canada - 4.70%; repayable in blended monthly installments of \$10,224; unsecured; amortized to August 2032; renewable July 26, 2020	578,295	671,330
	\$ 3,647,915	\$ 4,107,300

Principal portion of long term debt is expected to be repaid over the next five years as follows:

2021	\$ 483,870
2022	498,551
2023	1,074,045
2024	337,938
2025	1,041,869

TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
YEAR ENDED MARCH 31, 2020

8. Commitments

The Town has entered into an agreement with the Eastern School District for the period of October 19, 2005 to October 18, 2025 for the development of sports fields located on the Eastern School District lands, including responsibilities for each party. The agreement may be extended for a further ten years on the same terms if both parties agree to the extension. The Eastern School District agrees to lease to the Town the Eastern School District portion of the Sports Fields during the twenty year term and can be extended a further ten years. The Town shall have right of first refusal should the Eastern School District be desirous of selling its interest in the sports field.

The Town has entered into a lease agreement with DeLage Landen Financial Services for the lease of a photocopier, a contract agreement with the PEI Humane Society for animal control services, and a lease agreement with West River Church for use of space for the Youth Centre. The minimum payments due over the next five years are as follows:

2021	\$ 20,352
2022	3,145
2023	1,920
2024	1,920
2025	1,920

During the year, the Town purchased approximately 30 acres of land to develop well fields. The purchase of this land was allocated across two fiscal periods, with the remaining balance of \$45,500 to be paid in the 2020/21 fiscal year.

9. Contingencies

The Town commenced a legal action against a resident for reimbursement of expenses incurred in the cleanup of a property. The resident has filed a crossclaim with no amount formally claimed as of yet. In the opinion of management and legal counsel, the likelihood of any liability to the Town is unknown at this time. Should any loss result from the resolution of these claims, such loss will be charged to operations in the year of resolution.

A statement of claim was filed against the Town, which seeks removal of a berm that the Town had constructed on another company's property. The claim alleges that the berm causes run-off and water damage to the company's buildings. The company seeks an unspecified amount for damages and other costs and expenses. The Town has filed a statement of defence, but the liability remains in dispute at the reporting date. In the opinion of management and legal counsel, the likelihood of any liability to the Town is unknown at this time. Should any loss result from future legal action, such loss will be charged to operations in the year of resolution.

10. Prior Period Adjustment

During the current year, an adjustment was made to amend the Annual Expenditure Report for Direct Allocation Gas Tax for the year ending March 31, 2019. As a result, the prior period comparative figures have been adjusted for this amendment. As a result, the 2019 deferred revenue has decreased by \$46,983 and the government transfers for capital (Town) have increased by \$46,983 from amounts previously reported on the March 31, 2019 audited financial statements.

TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
YEAR ENDED MARCH 31, 2020

11. Accumulated Surplus

	2020	2019 (Restated)
Unrestricted deficit	\$ (1,061,371)	\$ (1,015,180)
Investment in tangible capital assets - Note 12	<u>25,397,965</u>	<u>24,853,540</u>
	<u>\$ 24,336,594</u>	<u>\$ 23,838,360</u>

12. Investment in Tangible Capital Assets

	2020	2019
Tangible capital assets - Schedules 1 and 2	\$ 43,695,759	\$ 42,248,397
Accumulated amortization - Schedules 1 and 2	(14,649,879)	(13,287,557)
Long term debt - Note 7	<u>(3,647,915)</u>	<u>(4,107,300)</u>
	<u>\$ 25,397,965</u>	<u>\$ 24,853,540</u>

13. Government Transfers For Capital

Town

New Deal Gas Tax	\$ 373,976	\$ 1,205,211
Municipal Capital Expenditure Grant	48,262	147,489
Province of Prince Edward Island	-	97,761
	<u>422,238</u>	<u>1,450,461</u>

Water and Sewer Utility

New Deal Gas Tax	206,854	145,403
Clean Water Wastewater Fund	204,733	618,854
Municipal Capital Expenditure Grant	<u>74,257</u>	<u>150,285</u>
	<u>485,844</u>	<u>914,542</u>
	<u>\$ 908,082</u>	<u>\$ 2,365,003</u>

TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
YEAR ENDED MARCH 31, 2020

14. Government Transfers For Operations

	Budget 2020	Actual 2020	Actual 2019 (15 months)
Town			
Provincial equalization grant	\$ 381,088	\$ 381,088	\$ 487,127
Other program support	-	11,105	5,600
	<u>\$ 381,088</u>	<u>\$ 392,193</u>	<u>\$ 492,727</u>

15. Administration Fee

During the year, the Town received a management fee totaling \$75,000 (2019 - \$75,000) from the Cornwall Water and Sewer Utility Corporation for payment of the administration costs incurred by the Town on behalf of the Utility. The transaction was in the ordinary course of business and was reflected at fair market value.

16. Budget Figures

A reconciliation of the 2020 fiscal operating budget prepared by Council to the budget figures disclosed in the consolidated financial statements is as follows:

	2020
Town of Cornwall budgeted surplus	\$ 749,263
Add: Debt retirement	455,505
Less: Water and Sewer Utility 2019 surplus	(533,633)
Less: Town of Cornwall 2019 surplus	(315,051)
Add: Capital expenditures	15,000
	<u>\$ 371,084</u>

Amortization was not included in the budgeted expense figures in the statements of operations, change in net debt and schedules since it was not part of the scope of the Town's original operating budget.

The columns presented as budget on the statements of operations and the attached schedules were not subject to audit or review by the external auditor.

TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
YEAR ENDED MARCH 31, 2020

17. Financial Instruments

The Town's financial instruments consist of cash, accounts receivable, bank indebtedness, operating loans, accounts payable and accrued liabilities, retirement obligation and long term debt.

The Town is exposed to various risks through its financial instruments and has a comprehensive risk management framework to monitor, evaluate and manage these risks. The following analysis provides information about the Town's risk exposure and concentration as of March 31, 2020.

Credit risk

Credit risk arises from the potential that a counter party will fail to perform its obligations. The Town is exposed to credit risk from customers. An allowance for doubtful accounts is established based upon factors surrounding the credit risk of specific accounts, historical trends and other information. The Town has a significant number of customers which minimizes concentration of credit risk.

Interest rate risk

Interest rate risk is the risk that the value of a financial instrument might be adversely affected by a change in the interest rates. In seeking to minimize the risks from interest rate fluctuations, the Town manages exposure through its normal operating and financing activities. The Town is exposed to interest rate risk primarily through its interest rates on operating loan and long term debt that could change upon the maturity date.

Liquidity risk

Liquidity risk is the risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities. The Town is exposed to this risk mainly in respect of receipt of government funding, long term debt and accounts payable.

TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
YEAR ENDED MARCH 31, 2020

18. Segment Disclosure

The Town is a diversified municipal unit that provides a wide range of services to its citizens. For management reporting purposes the Town's operations and activities are organized and reported by segment. The major segments are as follows:

Water and Sewer Utility

This segment is responsible for the maintenance and operations of water and sewer services provided to residents and other customers.

Parks and Recreation

This segment is responsible for promoting and offering recreation opportunities and activities for its residents. Its tasks include the operations and maintenance of the Town parks and recreational buildings.

General Government

This segment is responsible for the overall financial and local government administration. Its tasks include, but are not limited to, daily accounting functions, preparation and coordination of annual audited consolidated financial statements, development of the annual budget, human resource functions for the entire municipality, maintenance of bylaws and policies, oversight of public works, maintenance of Town facilities, and administration of Town services.

19. Subsequent Event

The recent outbreak of the Coronavirus Disease 2019, or COVID-19, has spread across the globe and is impacting worldwide economic activity. This global pandemic poses the risk that the Town or its residents, employees, contractors, suppliers and other partners may be unable to conduct regular business activities for an indefinite period of time. While it is not possible at this time to estimate the impact that COVID-19 could have on the Town's business, the continued spread of COVID-19 and the measures taken by the federal and provincial governments to contain its impact could adversely impact the Town's business, financial condition or results of operations. The extent to which the COVID-19 outbreak impacts the Town's results will depend on future developments that are highly uncertain and cannot be predicted, including new information that may emerge concerning the spread of the virus and government actions.

TOWN OF CORNWALL
SCHEDULES TO THE CONSOLIDATED FINANCIAL STATEMENTS
TANGIBLE CAPITAL ASSETS
YEAR ENDED MARCH 31, 2020

	Cost Beginning of Year	Cost Additions	Disposals and Write- Downs	Cost End of Year	Accum Amort Beginning	Amort in Year	Disposals	Accum Amort Ending	Net Book Value
Land	\$ 1,740,478	\$ 314,364	\$ -	\$ 2,054,842	\$ -	\$ -	\$ -	\$ 2,054,842	
Town Hall	1,929,547	-	-	1,929,547	1,010,682	77,182	-	1,087,864	841,683
Terry Fox Clubhouse	894,915	-	-	894,915	330,571	35,422	-	365,993	528,922
Terry Fox Sports Complex	4,513,957	287,548	-	4,801,505	2,811,170	397,058	-	3,208,228	1,593,277
Civic Centre	2,683,620	-	-	2,683,620	1,107,512	132,742	-	1,240,254	1,443,366
Maintenance and Utility building	362,348	-	-	362,348	208,930	14,494	-	223,424	138,924
Pool	100,483	-	-	100,483	100,483	-	-	100,483	-
Civic Centre equipment	772	-	-	772	772	-	-	772	-
Computer equipment	134,027	9,700	-	143,727	114,308	17,566	-	131,874	11,853
Pool equipment	22,909	-	-	22,909	22,909	-	-	22,909	-
Town equipment	261,078	65,508	-	326,586	245,476	35,360	-	280,836	45,750
Sidewalks/street	2,458,845	51,903	-	2,510,748	1,477,524	183,641	-	1,661,165	849,583
Cenotaph	10,681	-	-	10,681	4,379	428	-	4,807	5,874
Tractor, trailer and trucks	455,623	5,495	-	461,118	426,103	28,575	-	454,678	6,440
Transit bus	458,364	18,150	-	476,514	274,402	31,767	-	306,169	170,345
Sewer system	15,145,600	49,293	-	15,194,893	2,824,792	188,743	-	3,013,535	12,181,358
Water system	10,749,512	481,236	-	11,230,748	2,046,577	134,730	-	2,181,307	9,049,441
Multipurpose Centre	106,036	-	-	106,036	95,850	10,186	-	106,036	-
Playground equipment	125,213	17,679	-	142,892	106,018	16,862	-	122,880	20,012
Park improvements	25,228	-	-	25,228	25,228	-	-	25,228	-
Motor equipment	42,951	-	-	42,951	42,951	-	-	42,951	-
Asset management & plans	26,210	146,486	-	172,696	10,920	57,566	-	68,486	104,210
	\$42,248,397	\$1,447,362	\$ -	\$43,695,759	\$13,287,557	\$1,362,322	\$ -	\$14,649,879	\$29,045,880

(Notes 1 to 19 are an integral part of these consolidated financial statements)

TOWN OF CORNWALL
SCHEDULES TO THE CONSOLIDATED FINANCIAL STATEMENTS
TANGIBLE CAPITAL ASSETS
15 MONTHS ENDED MARCH 31, 2019

	Cost Beginning of Period	Additions	Disposals and Write- Downs	Cost End of Period	Accum Amort Beginning	Amort in Period	Disposals	Accum Amort Ending	Net Book Value
Land	\$ 1,740,478	\$ -	\$ -	\$ 1,740,478	\$ -	\$ -	\$ -	\$ -	\$ 1,740,478
Town Hall	1,929,547	-	-	1,929,547	914,454	96,228	-	1,010,682	918,865
Terry Fox Clubhouse	894,915	-	-	894,915	283,174	47,397	-	330,571	564,344
Terry Fox Sports Complex	3,668,193	845,764	-	4,513,957	2,422,893	388,277	-	2,811,170	1,702,787
Civic Centre	2,683,620	-	-	2,683,620	941,584	165,928	-	1,107,512	1,576,108
Maintenance and Utility building	362,348	-	-	362,348	190,813	18,117	-	208,930	153,418
Pool	100,483	-	-	100,483	100,483	-	-	100,483	-
Civic Centre equipment	772	-	-	772	772	-	-	772	-
Computer equipment	112,482	21,545	-	134,027	93,413	20,895	-	114,308	19,719
Pool equipment	22,909	-	-	22,909	22,909	-	-	22,909	-
Town equipment	252,772	8,306	-	261,078	205,965	39,511	-	245,476	15,602
Sidewalks/street	1,800,043	658,802	-	2,458,845	1,222,803	254,721	-	1,477,524	981,321
Cenotaph	10,681	-	-	10,681	3,845	534	-	4,379	6,302
Tractor, trailer and trucks	470,764	11,111	(26,252)	455,623	399,962	52,393	(26,252)	426,103	29,520
Transit bus	458,364	-	-	458,364	236,205	38,197	-	274,402	183,962
Sewer system	14,903,479	242,121	-	15,145,600	2,588,397	236,395	-	2,824,792	12,320,808
Water system	10,377,325	372,187	-	10,749,512	1,885,383	161,194	-	2,046,577	8,702,935
Multipurpose Centre	106,036	-	-	106,036	78,875	16,975	-	95,850	10,186
Playground equipment	92,308	32,905	-	125,213	88,839	17,179	-	106,018	19,195
Park improvements	25,228	-	-	25,228	25,228	-	-	25,228	-
Motor equipment	42,951	-	-	42,951	42,951	-	-	42,951	-
Asset management	-	26,210	-	26,210	-	10,920	-	10,920	15,290
	\$40,055,698	\$2,218,951	\$ (26,252)	\$42,248,397	\$11,748,948	\$1,564,861	\$ (26,252)	\$13,287,557	\$28,960,840

(Notes 1 to 19 are an integral part of these consolidated financial statements)

TOWN OF CORNWALL
SCHEDULES TO THE CONSOLIDATED FINANCIAL STATEMENTS
STATEMENT OF OPERATIONS - TOWN
YEAR ENDED MARCH 31, 2020

			Schedule 3
	Budget 2020	Actual 2020	Actual 2019 (15 months) (Restated)
Revenues			
Municipal property tax	\$ 2,314,641	\$ 2,526,824	\$ 2,800,484
Government transfers for capital - Note 13	80,000	422,238	1,450,461
Government transfers for operations - Note 14	381,088	392,193	492,727
Administration fee - Note 15	75,000	75,000	75,000
Building permits and subdivision fees	44,000	70,221	64,275
Other	5,500	58,737	7,059
Fines	30,000	32,522	33,812
Interest	500	21,320	19,639
Contribution from developers	-	20,712	-
Facility rentals	19,031	14,996	22,351
Gain on sale of tangible capital assets	-	-	50,000
	<u>2,949,760</u>	<u>3,634,763</u>	<u>5,015,808</u>
Expenditures			
Administration - Schedule 6	496,505	566,210	696,518
Planning - Schedule 6	233,423	223,719	252,679
Professional Services - Schedule 6	81,224	92,213	84,181
Public Works - Schedule 7	214,800	585,047	640,352
Town Facilities - Schedule 7	192,100	858,497	957,785
Town Services - Schedule 7	1,101,062	1,115,306	1,327,467
	<u>2,319,114</u>	<u>3,440,992</u>	<u>3,958,982</u>
Excess of Revenues over Expenditures	<u>\$ 630,646</u>	<u>\$ 193,771</u>	<u>\$ 1,056,826</u>

(Notes 1 to 19 are an integral part of these consolidated financial statements)

TOWN OF CORNWALL
SCHEDULES TO THE CONSOLIDATED FINANCIAL STATEMENTS
STATEMENT OF OPERATIONS - WATER AND SEWER UTILITY
YEAR ENDED MARCH 31, 2020

			Schedule 4
	Budget 2020	Actual 2020	Actual 2019 (15 months)
Revenues			
Sewer levies	\$ 610,000	\$ 654,271	\$ 888,542
Water levies	590,000	639,270	854,846
Government transfers for capital - Note 13	100,000	485,844	914,542
Interest on accounts	18,360	17,827	29,168
Frontage rates	13,000	17,490	18,539
Inspection fees	1,500	2,030	2,330
Other	500	960	704
	<u>1,333,360</u>	<u>1,817,692</u>	<u>2,708,671</u>
Expenditures			
Administration fee	75,000	75,000	75,000
Amortization of tangible capital assets	-	349,640	432,479
Debit machine charges	5,500	6,223	6,246
Insurance	41,000	21,305	37,209
Interest on long term debt	74,944	71,541	101,043
Maintenance - lagoon	15,000	19,418	9,506
Maintenance - sewer	50,000	63,980	49,730
Maintenance - water	50,000	45,870	46,846
Memberships	1,500	1,339	2,544
Motor vehicle	22,000	18,880	21,770
Office	18,200	14,763	17,570
Power - sewer	95,000	90,728	111,441
Power - water	60,000	53,684	64,846
Professional fees	51,500	32,110	38,389
Property tax	1,750	2,027	1,686
Salaries and benefits	338,813	321,297	425,906
Telephone	3,800	7,251	4,140
Training and development	10,000	9,899	10,052
Water test and inspections	14,500	13,463	18,369
Water conservation program	4,000	237	3,580
	<u>932,507</u>	<u>1,218,655</u>	<u>1,478,352</u>
Excess of Revenues Over Expenditures	<u>\$ 400,853</u>	<u>\$ 599,037</u>	<u>\$1,230,319</u>

(Notes 1 to 19 are an integral part of these consolidated financial statements)

TOWN OF CORNWALL
SCHEDULES TO THE CONSOLIDATED FINANCIAL STATEMENTS
STATEMENT OF OPERATIONS - PARKS AND RECREATION
YEAR ENDED MARCH 31, 2020

	Schedule 5		
	Budget 2020	Actual 2020	Actual 2019 (15 months)
Revenues			
Programs	\$ 272,750	\$ 286,064	\$ 342,863
Government transfers for operations:			
- wage subsidies	72,000	146,634	229,501
- recreation leadership	5,000	5,000	5,000
- program support	3,000	983	2,209
Sports field rentals	54,700	60,652	54,780
Special events	6,300	9,899	7,822
	<u>413,750</u>	<u>509,232</u>	<u>642,175</u>
Expenditures			
Amortization of tangible capital assets	-	26,355	19,496
APM Centre rental	2,000	1,484	1,540
Events	25,600	32,681	18,277
Motor vehicles	30,000	12,460	18,022
Parks and park equipment maintenance	61,500	36,090	50,704
Pool	10,500	7,170	10,102
Programs	48,750	48,836	57,799
Salaries and benefits	885,815	632,198	805,539
Training and development	6,000	3,540	4,277
Travel	4,000	2,992	3,861
	<u>1,074,165</u>	<u>803,806</u>	<u>989,617</u>
Deficiency of Revenues Over Expenditures	<u>\$ (660,415)</u>	<u>\$ (294,574)</u>	<u>\$ (347,442)</u>

(Notes 1 to 19 are an integral part of these consolidated financial statements)

**TOWN OF CORNWALL
SCHEDULES TO THE CONSOLIDATED FINANCIAL STATEMENTS
YEAR ENDED MARCH 31, 2020**

Schedule 6

	Budget 2020	Actual 2020	Actual 2019 (15 months)
Administration			
Advertising, printing and subscriptions	\$ 3,500	\$ 3,879	\$ 5,064
Communities 13 Inc. capital projects	16,500	16,415	16,415
Communities 13 Inc.	11,000	10,593	10,574
Computers	7,500	2,579	1,450
Council honoraria	58,370	51,808	44,101
Debit machine charges	3,650	4,585	5,265
Donations	15,500	13,380	67,049
Election	7,613	7,593	7,593
FCM annual meeting	15,000	10,357	19,750
Insurance	52,000	45,115	45,873
Interest on long term debt	80,116	81,605	116,594
Meetings and events	9,600	6,956	11,324
Miscellaneous	5,000	12,122	9,768
Office supplies and postage	20,000	23,411	28,578
Salaries and benefits	158,906	239,732	266,491
Telecommunications	27,750	31,032	36,096
Training and development	3,500	3,346	3,555
Travel	1,000	1,702	978
	<u>\$ 496,505</u>	<u>\$ 566,210</u>	<u>\$ 696,518</u>
Planning			
Annual conference and membership	\$ 4,000	\$ 4,649	\$ 2,609
Emergency measures plan	1,500	2,181	973
GIS	7,000	1,159	5,182
Salaries and benefits	204,423	206,563	233,299
Training and development	13,500	6,854	7,845
Travel	3,000	2,313	2,771
	<u>\$ 233,423</u>	<u>\$ 223,719</u>	<u>\$ 252,679</u>
Professional Services			
Audit	\$ 10,000	\$ 10,379	\$ 9,927
Bylaw enforcement	10,000	4,889	2,516
Engineering	4,000	5,329	3,152
Federation of Canadian Municipalities	1,365	1,633	1,718
Federation of P.E.I. Municipalities	11,259	10,521	10,336
Information technology	9,600	15,129	12,740
Legal	25,000	23,312	27,338
Miscellaneous	10,000	21,021	16,454
	<u>\$ 81,224</u>	<u>\$ 92,213</u>	<u>\$ 84,181</u>

(Notes 1 to 19 are an integral part of these consolidated financial statements)

TOWN OF CORNWALL
SCHEDULES TO THE CONSOLIDATED FINANCIAL STATEMENTS
YEAR ENDED MARCH 31, 2020

Schedule 7

	Budget 2020	Actual 2020	Actual 2019 (15 months)
Public Works			
Amortization of tangible capital assets	\$ -	\$ 309,640	\$ 373,367
Community maintenance and repairs	25,000	25,343	20,807
Property taxes	2,300	1,895	2,216
Salaries and benefits	127,500	167,663	152,531
Sidewalk maintenance	40,000	70,936	72,134
Small tools and supplies	5,000	1,787	5,775
Tractor	7,500	3,423	4,541
Trucks and snowblower	7,500	4,360	8,981
	<u>\$ 214,800</u>	<u>\$ 585,047</u>	<u>\$ 640,352</u>
Town Facilities			
Amortization of tangible capital assets	\$ -	\$ 676,684	\$ 739,519
Civic Centre	53,100	49,863	62,125
Maintenance building	23,000	19,524	28,616
Terry Fox Clubhouse	30,100	24,296	35,938
Terry Fox Sports Fields	19,400	16,119	14,627
Town Hall	66,500	72,011	76,960
	<u>\$ 192,100</u>	<u>\$ 858,497</u>	<u>\$ 957,785</u>
Town Services			
Animal control	\$ 11,604	\$ 11,604	\$ 14,276
Engagement	9,000	9,800	8,680
Fire dues	277,623	286,382	326,760
Policing services	600,500	605,881	761,680
Street lights	97,000	92,154	106,374
Transit	105,335	109,485	109,697
	<u>\$1,101,062</u>	<u>\$1,115,306</u>	<u>\$ 1,327,467</u>

(Notes 1 to 19 are an integral part of these consolidated financial statements)